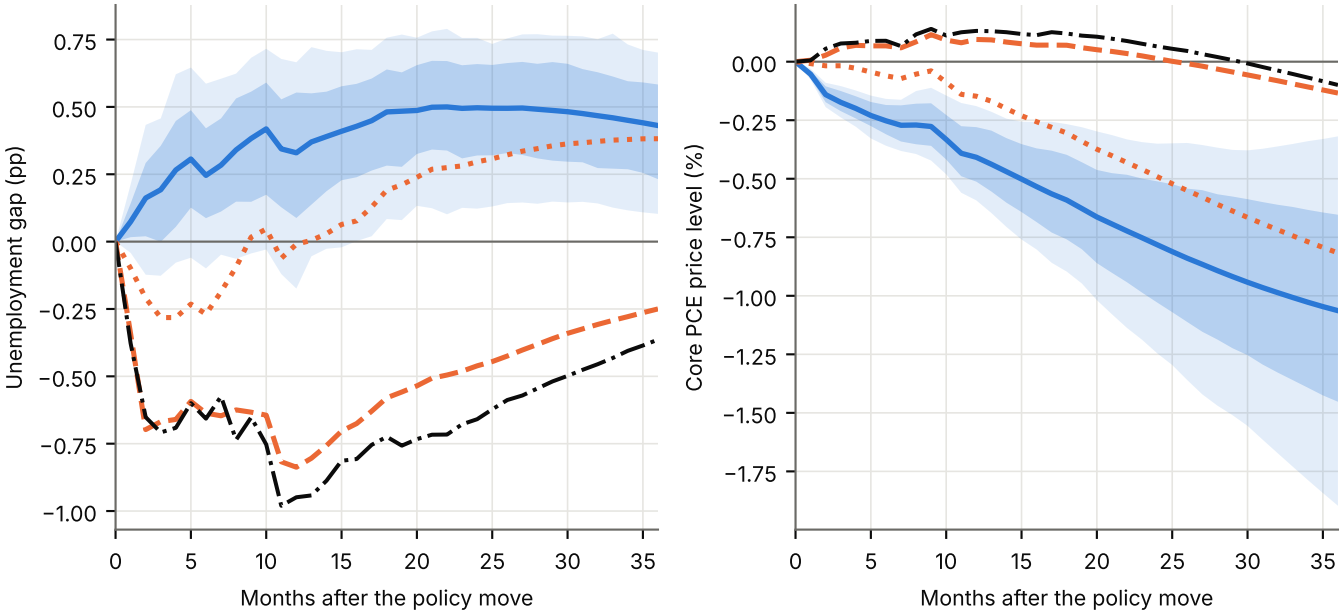
Unemployment gap (pp)
0.75
0.50
0.25
0.00
−0.25
−0.50
−0.75
−1.00
0
5
10
15
20
25
30
35
Months after the policy move
Core PCE price level (%)
0.00
−0.25
−0.50
−0.75
−1.00
−1.25
−1.50
−1.75
0
5
10
15
20
25
30
35
Months after the policy move
r*-gap 2-year yield and FCI (baseline; bands: 68 and 90 percent)
Nominal 2-year yield and FCI (same model)
Nominal 2-year yield alone (same model)
Recursive (Cholesky) VAR, 2-year yield (Section 3.1)